higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT

NQF LEVEL 4

(3011014)

26 November 2019 (X-Paper)
09:00–12:00

This question paper consists of 14 pages.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Show ALL the calculations in order for part marks to be allocated.
5. Use only black or blue ink. Answers written in pencil will not be marked.
6. Use the table below to guide you on how much time to spend on each question.
7. Write neatly and legibly.

QUESTIONS	TOPICS	MARKS	RECOMMENDED TIME GUIDE
SECTION A			
1	Short questions (ALL topics integrated)	40	36 minutes
SECTION B			
2	ALL topics integrated	40	36 minutes
3	Topic 3	35	30 minutes
4	ALL topics integrated	40	36 minutes
5	Topic 5 and 2	45	42 minutes
TOTAL		**200**	**180 minutes**

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 A/An … provides funds to a business owner at a specified interest rate.

A borrower
B lender
C accountant
D cashier



1.1.2 … is a pledge that a business owner puts up as security for repayment of a loan, to be forfeited in the event of a default.

A Insurance
B Collateral
C An investment
D A deposit

1.1.3 This expense is an example of a fixed cost in a business:

A Advertisement
B Stationery
C Rent paid
D Consumables

1.1.4 The point at which the total income of a business is equal to its total costs:

A Equity point
B Total point
C Turning point
D Break-even point



1.1.5 The rate of VAT in South Africa as at the 2018 financial period is …

A 29%.
B 14%.
C 13%.
D 15%.

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1.1.6 The Unemployment Insurance Fund contribution for employees in South Africa is …

A 15%.
B 1%.
C 14%.
D 10%.

1.1.7 Taxation of business income has the impact of … the profit of the business.

A decreasing
B increasing
C no impact
D revenue

1.1.8 The income of a sole trader is taxed at the same rate as a/an …

A private company.
B individual person.
C close corporation.
D public company.

1.1.9 The VAT on the selling price of R6 000 (exclusive) is … .

A R737
B R783
C R900
D R940

1.1.10 This investment appraisal technique does not consider the time value of money over a period:

A Financial rate of return
B Internal rate of return
C Net present value
D Payback period method

(10 × 1) (10)

1.2 Complete the following sentences by writing only the missing word/s next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 The … statement shows the financial performance of a business over a specific period of time.

1.2.2 A rebate is a tax credit that you may … from your normal tax liability when calculating taxes payable to SARS.

1.2.3 The … ratio is an indicator of a business' ability to pay its current liabilities from its all current assets.

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1.2.4 A business can use the services of a/an … to interpret legal terms and conditions of a loan agreement.

1.2.5 A/an … is a financial estimate that is drawn up annually for planning purposes in a business.

1.2.6 The owner of a business bought novels to read during his leisure time. This is a/an … expense for tax purposes.

1.2.7 A/an … is a tax certificate issued to employees at the end of each tax year.

1.2.8 A/an … budget shows the amount that a business expects to receive from the sale of goods for a specified period of time.

1.2.9 The report that shows a list of suppliers' accounts, per period, is called ...

1.2.10 A business is liquid if its … can be easily converted to cash within a period of a year and cover its current liabilities.

(10 × 1) (10)

1.3 Choose an item from COLUMN B that matches a description in COLUMN A. Write only the letter (A–H) next to the question number (1.3.1–1.3.6) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.3.1	A long-term obligation of the business payable longer than a year	A	input VAT
1.3.2	The store account that the business is using to buy supplies	B	debtors age analysis
1.3.3	VAT added on the purchase price of goods or services	C	mortgage bond
1.3.4	VAT added on the selling price of goods or services	D	output VAT
1.3.5	An example of a VAT zero-rated item	E	current liabilities
1.3.6	An example of a VAT exempted item	F	school fees
		G	eggs
		H	creditors age analysis

(6 × 1) (6)

1.4 Ipeleng Manufacturers produce denim material which is used to make jeans. They manufacture the material R250 per metre and sell it at R500 per metre.

MATERIAL IN METRES	VARIABLE COSTS	FIXED COSTS	TOTAL COSTS	TOTAL SALES	PROFIT /(LOSS)
20	**1.4.1**	R2 500		**1.4.2**	
30	R7 500	**1.4.3**	**1.4.4**	R15 000	
40	R10 000			R20 000	
50	R12 500			R25 000	**1.4.5**
60	R15 000				

Calculate the following:

1.4.1 Variable costs for manufacturing 20 metres of material. (2)

1.4.2 Total sales when 20 metres of material are sold. (2)

1.4.3 Fixed cost for manufacturing 30 metres of material. (1)

1.4.4 Total cost for producing 30 metres of material. (2)

1.4.5 Profit/loss if 50 metres of material is sold. Indicate clearly whether it is a profit or a loss. (3)

1.4.6 The number of metres of material that must be sold for the business to break even. Show the formula and calculations. (4)

[40]

TOTAL SECTION A: 40

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SECTION B

QUESTION 2

Read the scenario below and answer the questions.

Thoko Sibeko studied at Majuba TVET College in Newcastle. She completed a National Certificate: Vocational in Hospitality in November 2016. Thoko decided to start her own business instead of looking for a job. She intended doing decorations and catering for events and parties for businesses and individuals. She discussed a partnership with Busi Nkosi who was her classmate and friend. The two friends started a business called Butho Catering Services and Partners.

They are offering catering services to individuals and businesses. Busi inherited a van, an industrial oven and a laptop from his late father's estate. Thoko contributed R50 000 and her skills. Thoko's parents also gave her their old flat from which to operate the business. They cook, bake and do decorations according to the requirements and needs of clients. Their business is now flooded with orders as people are very happy with the food and services they provide. Busi and Thoko are considering employing two more people as the orders are becoming too many to handle by themselves.

2.1 Which form of ownership is Butho Catering and Partners? Justify your answer. (2)

2.2 Name and explain TWO sources of funding where Butho Catering and Partners can obtain funds to assist in expanding the business. (2 × 2) (4)

2.3 Name TWO documents that may be required by the funder when applying for funding. (2)

2.4 Name TWO items that may serve as collateral for Butho Catering and Partners. (2)

2.5 The business is considering applying for a loan to expand the business. Vhembe Bank is offering a loan of R300 000 at 12% p.a. Interest is payable on the total amount of the loan over FIVE years.

2.5.1 Calculate the total monthly amount payable to Vhembe Bank over a period of 5 years. (4)

2.5.2 The owners of Butho Catering and Partners do not regularly safeguard the invoices and receipts of the business.

State TWO benefits of the appropriate storage of source documents. (2 × 2) (4)

2.6 Name THREE statutory payments that Butho Catering and Partners can make. (3)

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2.7 Butho Catering and Partners was advised to draft a business plan for its successful operation.

Name and briefly describe THREE components of a business plan. (3 × 2) (6)

2.8 Butho Catering and Partners incur the following costs while running their business. State whether the costs are direct or indirect. Write only the words 'Direct' or 'Indirect' next to the question numbers (2.8.1–2.8.5) in the ANSWER BOOK.

2.8.1 Wages of cleaner

2.8.2 Flour for baking

2.8.3 Promotion pamphlets

2.8.4 Fuel for Busi's van

2.8.5 Business telephone account (5 × 1) (5)

2.9 Butho Catering and Partners is growing and Thoko and Busi are considering allowing loyal customers to buy on credit. The estimated total sales for January is R600 000.

20% of sales are for cash. Credit sales are collected as follows:

- 60% after 30 days and
- 40% after 60 days

Calculate the monthly cash inflow from sales for the first quarter of the year. Write the answers next to the question numbers (2.9.1-2.9.3) in the ANSWER BOOK. Show ALL your calculations next to each answer.

	January	February	March
Cash sales	**2.9.1**		
Credit sales		**2.9.2**	**2.9.3**

(8)
[40]

QUESTION 3

3.1 Tinyiko Bakeries are busy with budgetary control for 2018. The owner is monitoring the actual figures against the budgeted figures as shown in the table below:

ITEM	BUDGETED	ACTUAL
Product sales	90 000	96 000
Restaurant sales	120 000	138 000
Water and electricity	11 500	13 500
Advertising	6 200	6 000
Rent expenses	4 750	4 970
Petrol	5 800	5 600
Wages	12 300	12 000
Less operating expenses	???	???

3.1.1 Calculate the variance in product sales. State clearly whether the variance is favourable or unfavourable. (3)

3.1.2 Give ONE possible reason for the variance calculated in QUESTION 3.1.1. (1)

3.1.3 Calculate the variance for water and electricity. (2)

3.1.4 Indicate whether the variance calculated in QUESTION 3.1.3 is favourable or unfavourable. Give ONE possible reason your answer. (3)

3.1.5 Tinyiko Bakeries presented you with the following information regarding two potential projects:

	Committed expenses (R)	*Other related expenses (R)*	*Financial benefits to business (R)*
Project A	25 000	20 000	50 000
Project B	18 000	25 000	70 000

Calculate the *Cost: benefit ratio* for:

(a) Project A

(b) Project B (6)

3.1.6 Comment on the cost:benefit ratio for Project B. (2)

3.1.7 Name THREE important pieces of information that a business should use to make good decisions. (3)

3.2 Semaka Transporters has calculated the internal rate of return on a new truck to be 12,6%.

If the business has to buy this truck, it would finance it through a loan. The business would pay interest on the loan of 13% per annum.

3.2.1 Should Semaka Transporters buy the truck? Only answer 'Yes' or 'No'. (1)

3.2.2 Give ONE reason for your answer in QUESTION 3.2.1. (2)

3.2.3 Briefly explain the *payback method.* (2)

3.3 Tuelo Couriers want to invest in a delivery van for the business which costs R135 000. The projected life span of the van is 4 years. The cost of capital is 15%.

The table below shows the cash inflows that the van will generate and the present value factors for R1 and an annuity at 15%.

Year	*Estimated cash inflow*	*Present value factor of R1 at 15%*	*Present value factor of an Annuity at 15%*
1	R45 000	0,8696	0,8696
2	R35 000	0,7561	1,6257
3	R20 000	0,6575	2,2832
4	R10 000	0,5718	2,8550

3.3.1 Calculate the net present value (NPV) of the van. Show ALL your calculations. (8)

3.3.2 Based on your answer in QUESTION 3.3.1, should the business buy the van? Give a reason for your answer. (2)
[35]

QUESTION 4

4.1 The following information was extracted from the records of Stylish Services:

BALANCE SHEET OF STYLISH SERVICES AS AT 31 DECEMBER 2017 AND 2018

	2017	2018
ASSETS		
Noncurrent assets	126 759	82 547
Current assets		
Inventory	35 000	42 500
Trade and other debtors	5 400	23 934
Cash and cash equivalents	25 102	500
TOTAL ASSETS		
EQUITY AND LIABILITIES		
Owners' equity		
Noncurrent liabilities		
Long-term borrowings	73 000	45 000
Current liabilities		
Trade and other creditors	47 476	47 176
TOTAL EQUITY AND LIABILITIES		

4.1.1 Calculate the debt ratio for 2017. Show the formula and round off the final answer to TWO decimal places. (6)

4.1.2 Calculate the current ratio for 2018. Show the formula and round off the final answer to TWO decimal places. (6)

4.1.3 Calculate the net worth of the business for 2017 and then for 2018. (4)

4.1.4 Give ONE possible reason for the difference in the business' net worth from 2017 to 2018. (2)

4.1.5 The long-term borrowings decreased in 2018. Give ONE possible reason for the decrease. (2)

4.2 The following information was extracted from the income statement of Truro Music Market:

	2017	**2018**
Turnover/Sales	124 200	108 000
Other operating income	10 800	9 000
Operating expenses	58 000	60 000
Interest paid	28 850	20 700
Net profit for the year	48 150	36 300

4.2.1 Calculate the net profit percentage for 2017. Show the formula and round off the final answer to TWO decimal places. (4)

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4.2.2 Calculate the turnover performance ratio for 2018. Show the formula and round off the answer to the nearest whole. (4)

4.2.3 Briefly explain the difference between *gross profit* and *net profit.* (2)

4.3 Briefly outline the purpose of each of the following budgets:

4.3.1 Production budget

4.3.2 Labour budget

4.3.3 Purchases budget (3 × 2) (6)

4.4 Name FOUR possible expenses that a business such as Butho Catering and Partners could incur. (4)

[40]

QUESTION 5

5.1 Briefly state the difference between a *primary rebate* and a *secondary rebate*. (2 × 2) (4)

5.2 State TWO methods that an individual or a business can use to submit their income tax returns to SARS. (4)

5.3 Study the 2017/2018 tax table below and answer the questions.

Taxable income (R)	Rates of tax (R)
0–189 880	18% of taxable income
189 881–296 540	34 178 + 26% of taxable income above 189 880
296 541–410 460	61 910 + 31% of taxable income above 296 540
410 461–555 600	97 225 + 36% of taxable income above 410 460
555 601–708 310	149 475 + 39% of taxable income above 555 600
708 311–1 500 000	209 032 + 41% of taxable income above 708 310
1 500 001 and above	533 625 + 45% of taxable income above 1 500 000

Tax Rebate	2018 Tax Year
Primary	R13 635
Secondary (65 and older)	R7 479
Tertiary (75 and older)	R2 493

Tax Thresholds:

Person	2018 Tax Year
Under 65	R75 750
65 and older	R117 300
75 and older	R131 150

5.3.1 Seipati Sono owns a small business in her neighbourhood. She is 48 years old and has generated taxable income of R545 000 for the year of assessment.

Calculate her tax payable for the year. Round off your final answer to TWO decimal places. (6)

5.3.2 Lerato Dube is the owner of Dube Express, which is a sole proprietorship. She is 66 years old and gets a monthly taxable income of R15 000 from the business.

Calculate the tax payable by Lerato for the year 2018. Round off your final answer to TWO decimal places. (7)

5.3.3 Sara Lieu is a typist for Shosholoza Printings and earns R71 000 per annum.

Is Sara liable to pay income tax? Give TWO reasons for your answer. (3)

5.4 Name TWO forms of business ownership where the owners have limited liability. (2)

5.5 State TWO consequences for an individual who fails to submit a tax return to SARS. (2)

5.6 Gadifele Moyo has to decide which ONE of two machines (Machine Q and Machine R), she should buy. Each machine costs R250 000. The cash flow streams for these machines are as follows:

YEAR	MACHINE Q	MACHINE R
1	R20 000	R10 000
2	R30 000	R20 000
3	R30 000	R30 000
4	R40 000	R40 000
5	R50 000	R40 000
6	R50 000	R50 000
7	R60 000	R50 000
8	R60 000	R60 000

Calculate how long it will take Gadifele to pay back machine Q. (8)

5.7 Gadifele Moyo is running a successful printing press in Estcourt in KZN. For the financial year ending 28 February 2018, her sales were R150 000 (inclusive of VAT). Gadifele also sold an old computer for R5100, she made profit on sale of R2 000. The business further received R2 800 for interest on current account and paid R18 000 for property rates. All other amounts exclude VAT, VAT is calculated according to 2018 legislative rate.

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5.7.1 Calculate the business' sales for tax purposes. (4)

5.7.2 Which amount regarding the sale of the old computer, will increase the business' taxable income, the proceeds of R5 100 or the profit on the sale of the computer of R2 000? (1)

5.7.3 Briefly explain to Gadifele which expenses can be claimed as capital allowances and give two examples of such expenses. (4)

[45]

TOTAL SECTION B: 160

GRAND TOTAL: 200

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